



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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Our Ref: IS/016/2002

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**Circular to
All SFC's Registered Securities Dealers and Securities Margin Financiers
Financial Resources (Amendment) Rules 2002**

The Securities and Futures Commission has recently amended the Financial Resources Rules ("the FRR") to incorporate the following two new requirements:

- To apply a 80% haircut to collateral that may be difficult to liquidate quickly because of the size of holding relative to monthly turnover (taking an average over 6 months) and market capitalization;
- To include a financial adjustment in ranking liabilities where a firm's total borrowings, which are secured by repledging margin clients' securities, exceed 65% of aggregate margin loans provided to margin clients.

Details of these requirements are described in the Financial Resources (Amendment) Rules 2002 ("the Amendment Rules") which were gazetted on 31 May 2002. A copy of the Amendment Rules and the Consultation Conclusions can now be found on the SFC's Internet website at <http://www.hksfc.org.hk>.

The above new requirements will come into effect on 1st October 2002 and will be applicable to all registered securities margin financiers and securities dealers providing securities margin financing. Firms are strongly advised to carefully consider the financial and operational implications of the new requirements and ensure that they have the necessary data, systems and capital for complying with the new requirements for 1st October 2002.

If you have any questions about the new requirements, you are welcome to contact your case officer in the Intermediaries Supervision Department (please refer to the attached list for name and telephone number of case officers).

Intermediaries and Investment Products Division
Securities and Futures Commission

<u>Firm name starting with</u>	<u>Case officer (Telephone number)</u>	
A, X, Y, Z, 1	Irene Pou	(2842 7636)
B, G, 2	Naomi Chak	(2842 7799)
C	Leo Lam	(2842 7642)
D, E, F	Pabby Lee	(2842 7639)
H, I	Johnny Shih	(2842 7601)
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N, O, P, Q	Linda Chiang	(2842 7766)
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T, U	Desmond Cheng	(2840 9453)
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